

BrightView Holdings BV

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by

Woolly18

2026 2027

Price:	14.52	EPS	0	0
Shares Out. (in M):	148	P/E	0	0
Market Cap (in \$M):	2,150	P/FCF	0	0
Net Debt (in \$M):	900	EBIT	0	0
TEV (in \$M):	3,050	TEV/EBIT	0	0

Description

Investment Thesis

After a 2.5 year turnaround effort, organic growth has finally inflected, which should drive 30-50% upside in the stock as the market gains conviction that the inflection is sustainable. This is a self-help story with several macro and technical headwinds that should abate, further driving the equity.

**for purposes of the cap table, we include the convert as equity.

Brief Company Overview

Brightview Holdings (BV) is the largest commercial landscaping company in the United States with 2% share of a highly fragmented market. Its primary segment is Maintenance Services (~70% of revenue), which includes recurring contract landscaping and discretionary "enhancement" (ancillary) work - collectively referred to as the "Core Land" business - as well as a snow removal business. Its other segment is Development Services (~30% of revenue), which is landscape construction work tied to new builds for corporate campuses, housing developments, and public works. The company was assembled in 2014 from the merger of Brickman and ValleyCrest and came public in 2018 at \$22 under KKR's ownership. Since IPO'ing, the company has been a serial disappointment: a debt-laden PE roll-up that has chased unprofitable revenue and acquisitions while letting customer retention drop from 85% at IPO to a low of 79% in 2023. Today the stock sits ~40% below its IPO price at \$12.75, near its 52-week low and at a trough 7.5x forward (FY26e) AEBITDA against an 8-12x historical multiple range and ~10x bogey for private scaled players.

In September 2023, One Rock Capital injected \$500m via a convertible preferred and installed Dale Asplund, a 25-year United Rentals veteran and former URI COO, as CEO. Asplund has led a multi-year operational turnaround focused on de-levering the balance sheet, reducing corporate overhead, and reinvesting in employee and customer retention. Consolidated adjusted EBITDA (AEBITDA) margins have expanded +250 bps, frontline employee turnover is down ~35%, and customer retention has improved +550 bps to 85%. The debt to preferred equity recap along with targeted debt reduction has brought net financial leverage to AEBITDA from 4.8x at FYE22 to a more manageable 2.5x as of 2Q26. **The missing piece has been the KPI investors value most: a return to organic growth in the core land maintenance book.**

That inflection has now arrived. After two years of negative-to-flat core land growth, BV reported in their fiscal 2Q26 (period ended March 2026) core land growth of +4% and total revenue growth of +6%. The stock hasn't moved despite the proof print as the market wants to see more than one quarter of evidence that we have returned to stable core land growth. We on the other hand see a de-risked growth inflection with a step-up in FCF conversion coming in FY27 as elevated fleet-capex begins to wind down after this year.

Our base case is that proven organic growth plus a normalizing capex cycle re-rates the stock towards 10x forward AEBITDA, worth \$19 (35%+ upside), with the eventual resolution of the KKR ownership overhang as an additional catalyst. In our downside case of \$10, the inflection proves transient and the multiple returns to the low of 6.5x forward AEBITDA since Asplund joined, giving us favorable asymmetry. Asplund personally owns \$19mm of stock.

Why Does the Opportunity Exist

BV has been an orphaned stock for understandable reasons. The market has been told since FY24 that core land maintenance would reaccelerate "in the back half of the year," and for two years it did not. Management's credibility on the single metric that drives the stock has been spent. Layered on top is a PE overhang: KKR previously owned 34% of the company and has since secondaried down to 14.5%. The rumored price at which they are willing to sell is a moving target (we believe it is around \$17-18), but this is the last position in an aging fund that they are eager to wind down. One Rock's convertible preferred is a further ~54m shares of dilution on a conversion price of \$9.44. With a motivated seller capping the upside and a "show me" growth story, the multiple compresses to ~7x each time core land growth disappoints. Further, the new management team has embarked on a fleet and equipment refreshment cycle beginning in FY25, driving net capex spend to \$227m in FY25 (vs. \$60m in FY24) with an expected \$165-\$180m in FY26. AEBITDA has been unaffected by this ramp, but the elevated D&A and capex spend is depressing EPS and cash flow figures.

We think the bearishness is stale for four reasons. 1). The core land inflection is here: +4% in 2Q26, underpinned by customer retention that has risen to 85% and two-thirds of their core land business contractually booked through FY26 at +3% growth. 2). The heavy capex spend has depressed free cash flow, obscuring earnings power that will emerge as net capex reverts to historical 3.5-4% of sales range starting in FY27. 3). The market has been too fixated on the top line and not affording enough credit to the durable margin transformation already banked, with structural cost-outs driving +250 bps of margin expansion on low/no growth with a path to 16%+ AEBITDA margins via operating leverage once growth sustainably returns. 4). The lingering KKR overhang is itself a coiled catalyst as KKR's final secondary and eventual exit removes a cap that has been suppressing the buyer universe and multiple.

Investment Point #1: The Core Land Growth Inflection has Arrived, and the Self-Help Levers Driving it are Durable. BV's reacceleration rests on three controllable levers, all of which are now visibly working. Frontline employee turnover is down from 100% at peak levels to 65%, achieved via targeted improvements to benefits, perks, and fleet/equipment. Better employee retention improves service quality and feeds better customer retention, up +500 bps to 85% from a trough of 79%. Both retention metrics have improved reliably since Asplund joined in late 2023. Higher retention branches grow faster - 85%+ retention branches grow mid-single-digits and 90%+ branches grow double-digits. Industry operators we spoke with peg well-run branches at low-90s retention, indicating there is plenty of further white space for BV to improve. Second, the new management team has focused on rebuilding the sales team to bolster growth. BV has added +200 net new sellers since late 2024 against a 2030 target of ~500. They have realigned sales comp to be more variable, which is reflected in expanding AEBITDA margins despite the personnel ramp over this period. The final lever is a more focused effort to convert more development customers into maintenance customers. BV converts only a fraction of the \$55m annual maintenance

opportunity embedded in its construction backlog and has improved the conversion rate from below 10% to ~20% with a 70% long term aspiration. This is the smallest growth lever and has stalled alongside development project pushouts. There is white space for this effort: the development business operates in only 20 of the 36 states where maintenance has a presence, leaving 16 states where they haven't operated. BV has started opening development branches in these regions with six development cold starts now open (all with booked backlog/orders) and five more underway. Ultimately the 2Q26 core land print of +4%, the highest in years, is the proof point that the narrative is now being reflected in the numbers. This strong core land print came despite a heavy snow year, which typically cannibalizes landscaping work. Two-thirds of the core land business is contracted through the end of FY26 at +3% growth. Historically, ancillary services (remaining 1/3 of core land) attach at \$0.50 per dollar of contracted revenue, which if held supports +3% core land growth through the rest of the year. If ancillary is just flat, BV will hit +2% core land growth, which is the low end of their guide. We believe ancillary work softened following liberation day in FY25, setting up easy comps for core land growth in 2H26.

Investment Point #2: Free Cash Flow Inflects as the Capex Cycle Rolls Off. BV's reported free cash flow has been depressed by a two-year fleet and equipment catch-up after a decade of deferred maintenance under the prior regime. Net capex has run up to 6.5% of sales while the average fleet age has halved from ~10 years to ~5. Management has guided FY26 as the last heavy investment year, with capex normalizing to 3.5-4% of sales thereafter. BV reported adjusted free cash flow of \$65m in FY25 with a guide of \$100-115m for FY26. Cash flow should further improve by \$60-75m in FY27 as net capex steps down into their target range. This investment also eventually flows through the P&L: the fleet refresh program is expected to drive \$25m of lower ongoing maintenance and repair expenses on higher quality equipment as part of a \$100m gross cost takeout program that was announced at the FY25 investor day. One nuance the sell-side keeps underestimating is the ongoing depreciation step up behind the capex, which compresses GAAP gross margins and leaves EPS estimates too high even as AEBITDA and FCF inflect favorably. We regard the latter two metrics as the ones that matter on a go-forward basis and view the overall trajectory favorably.

Investment Point #3: Trough Multiple, Capital-Allocation Optionality, and an Ownership Overhang Removal. At 8x forward AEBITDA, BV trades at the low end of its 6-12x range and the industry expectation for 10x scaled landscaping businesses in private markets. The company has a \$150m buyback authorization (\$45m deployed with \$28m in 1H26) and has been explicit that, at these levels, it would rather retire its own stock than pay 8-10x AEBITDA for acquisitions. As organic growth is established and leverage drifts down (2.5x on TTM AEBITDA today vs. 1.2x-1.5x stated target), the optionality flips in a ~\$100B fragmented TAM (BV is the largest player at only ~2% market share), giving BV a long runway to deploy normalizing free cash flow into accretive tuck-ins that expand ancillary capabilities (tree trimming, aquatic, irrigation) or bring them into new geographies. Finally, the KKR overhang is a risk that also serves as a catalyst. This resolution will remove a years-long technical cap and broaden the buyer universe to an investor population who won't touch the stock ahead of the eventual secondary. We have heard KKR has been pressing Dale to restore core land growth to support their exit, which if true, suggests the exit timeline for the PE holders is a near-term event. We expect a re-rating when the overhang clears and thus are being paid to hold the asset in the interim.

Valuation

The stock is worth \$18-20 as growth and free cash flow are proven, with a path to mid-20s if sustainable margin expansion and core land growth lead to a post-IPO era premium multiple over the industry deserving of the largest scaled player. On \$370m of FY26 AEBITDA (midpoint of guidance) and ~148m fully diluted shares (treating the in-the-money One Rock preferred as converted) against \$900m in net debt, we apply a 10x multiple to get \$19/share in our base case. We base the re-rating on a de-risked full year core land inflection, a 2027 adjusted free cash flow step-up to \$160-190m in FY27 (8-9% yield on today's diluted equity value), and the removal of the KKR overhang. In our downside case of \$10, the inflection softens towards flat core land growth with consolidated revenue dragged down by ongoing development weakness; the PE overhang persists and the multiple drags back down to a trough 6.5x FY26 AEBITDA of \$360m. Our upside case extrapolates +3-4% consolidated growth in FY27 with further operating leverage driving AEBITDA margins towards 14%. Multiple expansion to 11-12x FY27e AEBITDA gets you \$23 to \$26 per share. We view the probability weighting of these outcomes as skewed favorably at the current entry point.

Risks

Execution / Credibility. The central risk is that the 2Q26 inflection is transient, flattered by a strong snow season and easy comps, and core land growth fades back towards flat in 2H26. Given management's track record of pushing the inflection out, a single soft quarter would do disproportionate damage to credibility on this metric, which is just starting to be rebuilt. Softness could come in the more discretionary ancillary services business (non-contracted add-ons like seasonal color changes, mulching, tree trimming) that sit on top of the recurring maintenance contracts. Ancillary work is one-third of the core land book, so even with two-thirds contracted growing +3%, a large enough pullback in ancillary could drag core land toward flat. Per our discussions with management, of the ~\$500m ancillary book only ~\$100-150m is genuinely discretionary "book and burn" work. So while ancillary pullback is the key swing factor, the truly at-risk dollars are a smaller slice (6-9% of core land) than the headline one-third figure implies. The thesis ultimately depends on growth being durable rather than a one-quarter or lumpy event.

Labor and Immigration. Labor is ~40% of maintenance service cost, and the industry leans on H-2B seasonal visas. BV's e-Verify, fully documented workforce is a relative advantage, but tighter immigration enforcement, rising H-2B costs (reportedly up 15-20%), and wage inflation above the 3-5% the company can typically pass-through would pressure margins. Labor availability, more than wage rates, is the industry's binding constraint.

Weather, Cyclical, and Mix. Snow removal is higher margin work but volatile. A strong snow season this year in the Northeast and South/Southeast has supported consolidated results so far in FY26 (note: snow is not included in "core land" growth metrics). This will create a tough comp in 1H27 on a consolidated basis. The development segment is more cyclical, tied to commercial construction and rates, and has been a multi-quarter drag on growth as projects have been getting pushed out. Mitigating this issue is that development backlog has continued to grow and comps begin to ease in the current quarter (3QFY26). Notwithstanding, ongoing push outs in construction projects or a pullback in more discretionary ancillary "core land" work could weigh on results despite growth in the contracted core land business. Finally, elevated fuel prices as a result of Hormuz drove a \$1.5m incremental cost headwind in April 2026. As of mid-June, oil futures have largely receded from peak levels, however, we still expect a LSD-MSD EBITDA dollar drag from this variable in 2H26.

Ownership Overhang and Capital Allocation. KKR's selling, whenever it resumes, is a near-term technical risk even as it is a longer term catalyst. One Rock's preferred will eventually convert to ~54m shares and currently eats ~\$36m a year in FCF from preferred dividend payments. Separately, BV's M&A history under prior ownership was value-destructive (earn-out laden deals, acquired revenue that subsequently churned), and a premature or sloppy return to dealmaking would undermine the disciplined capital allocation case.

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I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

1. organic growth in core land maintenance book
2. removal of PE overhang
3. FCF inflection, capital deployment

Messages

Subject	Philosophical question
Entry	07/06/2026 05:43 PM
Member	MrStingy
I read your thesis as "this trades at 7.5x FY26 EBITDA and I think it should trade at 10x" and think to myself that there is no meat on this bone or margin of safety to account for stochasticity in model parameters - P/L outcome will be random. A 30% arb is obv juicy but this is not that.	
Do these setups typically end well in your (or others) experience? I don't mean for that question to sound rude but I'd be interested to hear where my intuition is wrong.	
Subject	Re: Philosophical question
Entry	07/06/2026 08:28 PM
Member	starfox02
Stingy, I don't understand your comment. Isn't buying stocks for 7.5x that should trade for 10x the literal definition of value investing? I feel like that's kind of my job description...	
Subject	Re: Re: Philosophical question
Entry	07/06/2026 08:33 PM
Member	Rtg123
He's asking why 10x is the right multiple. Admittedly, we've struggled figuring out the right multiple for a low growth landscaping business.	
Subject	Re: Re: Philosophical question
Entry	07/06/2026 11:37 PM
Member	MrStingy
Star Fox, I think what I'm getting at is: if one's estimate of intrinsic value is only 30% higher than market value, how large can the margin of safety really be.	
Put another way, if you assume that intrinsic value is your estimate plus/minus, say, 30% to account for error, how confident can you be if the market value is already within that band?	
Subject	Chuckles
Entry	07/06/2026 11:42 PM
Member	bowd57
Hi, Rtg123 --	
> Admittedly, we've struggled figuring out the right multiple for a low growth landscaping business.	
Too obscure to wind up in the VIC Quote Hall Of Fame, but yes.	
Yours,	
Bowd	
Subject	Re: Re: Re: Philosophical question
Entry	07/06/2026 11:59 PM
Member	Cries
Having on-and-off tracked this company and its predecessors for over a decade, I have struggled with what it was worth in the past. Same thing with some other US landscaping names.	
I think 10x trailing ebitda is in the cards, but probably the high end. The success or failure of this feels like it rests on the organic growth they put up over the investment period. It can definitely work as a multiple expansion idea, but you probably need to have conviction in revenue and ebitda organic growth.	
For BV and its predecessor (brickman), my worry had always been that it had structurally negative organic growth, like for over a decade. My thoughts on this company had been that it required ongoing acquisitions to just stay flat, even after regular passthrough inflation - effectively a form of required capex for them. The other issue i always had with them was that: weather or immigration or inflation or some regional problem or whatever always comes up to ruin the party just when i thought things were going smoothly.	
My guess is this is tethered to like a 8x LTM ebitda valuation given the above. The positives are obviously that it generates cash and can deploy it at low multiples to grow inorganically. If you capitalize both the required M&A outlays and negative through the cycle growth, then im not sure how you get a double digit multiple. But you can definitely make this work and get paid 10x for it, just not sure I'd bet on when it happens.	
Subject	Re: Re: Re: Philosophical question
Entry	07/07/2026 11:57 AM
Member	starfox02

Not sure that makes sense (and won't comment further so as not to pollute the board) - but doesn't the "plus/minus" capture it? To your point, if you have a portfolio of securities you think is worth \$10 plus minus 30%, and you keep buying them for \$7.50, then eventually you will end up with some that are worth \$7 and you lose money. But you also end up with a lot worth \$9, \$10, \$11 where you do well, and occasionally you get really lucky and end up with one that's worth \$13, which offsets the one that's worth \$7. Your analysis might be true if "minus" was the only option but sometimes good things happen too (random strategic buyouts, a certain end-market catching fire whether fundamentally or just in the eyes of the market, etc) so it becomes more about portfolio construction (to take advantage of the \$13s and not let the \$7s bite you in the ass) vs there being anything wrong with buying \$10 dollar bills for \$7.50 (but you only *think* they're \$10 because you're squinting at them from across the street, but most of the time your trained eye is mostly accurate).

Subject	Re: Re: Re: Philosophical question
Entry	07/07/2026 05:28 PM
Member	Woolly18

To frame the valuation question: BV came public in 2018 at ~12x NTM AEBITDA and has traded at a 6-10x band since. The multiple has compressed to the low end because core land went negative and the market repriced this as a PE rollup value trap. So 10x isn't a re-rating to some unprecedented level, but rather the multiple the business had when the market believed in the growth algorithm.

The crux of the thesis is that the core KPI, organic land growth, has inflected and should be sustainable. Along with other tailwinds we discuss in the report -- margin expansion, FCF improvement, as well as eventual PE overhang removal -- should all lead to margin expansion. Whether its 9x or 11x is anyone's guess. However, if the market believes the growth is sustainable, the other positive attributes of this business will be more highly valued. Route-based, commercial services, recurring revenue consolidators fetch multiples well above 10x. We agree this is not ROL, but they are the largest player in a highly fragmented industry with significant white space for add-ons and professionalization that should fetch a premium to other landscaping businesses.

Subject	I Thought This Sounded Familiar ...
Entry	07/07/2026 09:09 PM
Member	bowd57

Hi, all --

... and now I see that I participated in the discussion back in 2018.

In addition to commentary from much more informed people, I raised two points/questions:

- 1: Is this actually a route business? In other words, is density high enough that cutting down on travel time is material?
- 2: It sounded then and sounds now like a service that's delivered on an, umm, informal basis, like Angie's List not Fortune 500. I guessed that a customer motivator here might be just, compliance. Is that plausible?

Yours,

Bowd

Subject	Re: Philosophical question
Entry	07/07/2026 09:17 PM
Member	bowd57

Hi, Starfox, MrStingy --

> if one's estimate of intrinsic value is only 30% higher than market value, how large can the margin of safety really be.

Bonds, not stocks, but if you spend your days thinking to yourself, "I think this worth par and bought it at \$77," you'll be OK if you're right, albeit not without the occasional hiccup.

If stocks not bonds -- Usually, one expects at least some modest increase in value over time. If takes a couple of years for things to work out, that 30% hopefully becomes 40%.

Yours,

Bowd